SIMPLICITY OVER COMPLEXITY

Q4 2026 *Portfolio Update*

What changed this quarter, and why.

October 2026

EVERY TRADE THIS QUARTER

Dividend Portfolio

OUT PACCAR · NextEra Energy · Church & Dwight

IN Broadcom · Waste Management · Clear Secure

Raised Lockheed Martin · Trimmed Lam Research

Growth Portfolio

OUT Marathon Digital · Toll Brothers · Edison International*

IN Vertiv · Generac · Pagaya Technologies*

Both portfolios remain at 25 holdings each. *Executed earlier in the quarter.

01 What Changed *& Why*

This quarter's changes share one theme. We moved away from companies that can be hurt by higher interest rates and toward companies with growing demand, long order backlogs, and the ability to raise prices.

Rather than guess when rates will come back down, we asked a simpler question of every holding: does this business still work if rates stay higher for longer? Where the answer was no, we made a change. Every change was informed by our research library and sector-rotation framework.

INTEREST RATES

Higher for Longer

On September 16 the Federal Reserve raised rates for the first time this year, to a target of 3.75–4.00%. Its median projection is 4.1% at the end of both 2026 and 2027, meaning no cuts are expected through 2027. Long-term yields have climbed with it: the 10-year Treasury reached 5.24% on October 9, its highest since 2007, and the 30-year reached 5.60%, its highest since 2001. Meanwhile, manufacturing has now expanded for nine straight months.

SECTOR LEADERSHIP

Software Led the Quarter

Software was the top-performing sector of the third quarter, followed by energy and healthcare. Last quarter we raised our software weight, including a first purchase of ServiceNow, because we believed quality software had been mispriced on fears of AI disruption. Industrials and utilities were among the sectors hit hardest by the rate hike.

ENERGY

Why We Stay Light

Energy has led the year, but most energy companies earn roughly the amount of oil they sell times the price of oil. Historically, oil has traded around $60 to $80 a barrel. If prices return to that range, earnings tend to fall with them. Because we can't predict the war or the Strait of Hormuz, we keep only modest energy exposure, concentrated in the growth portfolio.

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02 Performance & Risk

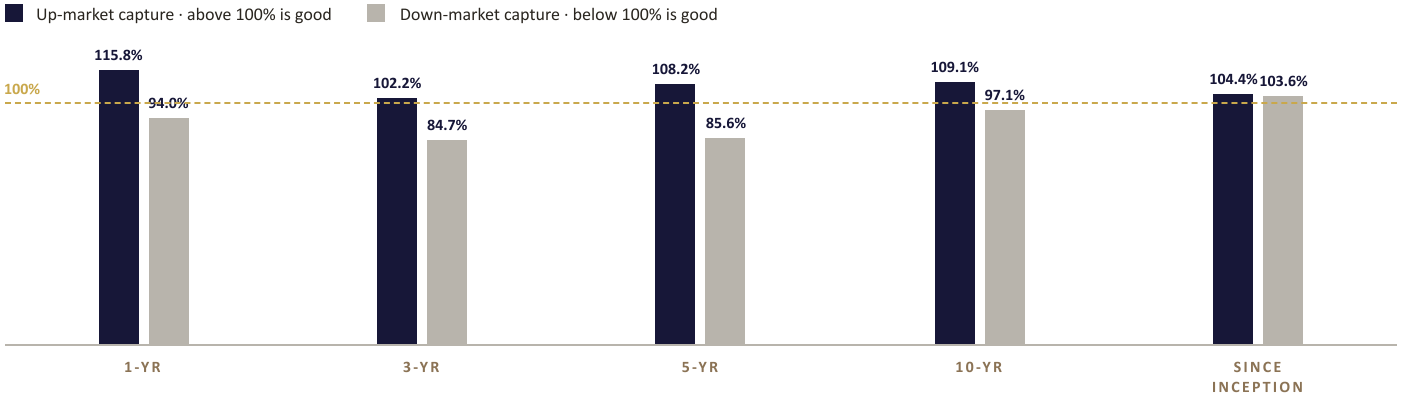
Dividend Strategy: *Trailing Results*

	YTD	1-YR	3-YR	5-YR	10-YR	SINCE INCEPTION*
Dividend Strategy · Net	**12.28%**	**15.37%**	**19.18%**	**14.99%**	**12.84%**	**11.79%**
Dividend Strategy · Gross	13.55%	17.11%	20.98%	16.73%	14.54%	13.48%
iShares Select Dividend ETF (DVY)	10.33%	10.83%	16.33%	9.66%	9.74%	11.19%
S&P 500 (SPY)	12.71%	15.71%	22.76%	13.70%	15.23%	14.72%

As of 9/30/2026. Returns are presented both gross-of-fees and net-of-fees; periods greater than one year are annualized. *Strategy inception date for calculating statistics is February 1, 2012.

Market Capture *vs. DVY*

Net of fees.



VS. DVY, NET OF FEES	1-YR	3-YR	5-YR	10-YR	SINCE INCEPTION*
Up-market capture	115.84%	102.17%	108.19%	109.09%	104.36%
Down-market capture	94.05%	84.67%	85.57%	97.10%	103.57%

As of 9/30/2026, the Dividend Strategy returned 12.28% net of fees year to date, compared with 10.33% for the iShares Select Dividend ETF (DVY) and 12.71% for the State Street SPDR S&P 500 ETF Trust (SPY). The strategy's trailing one-year up-market capture of 115.8% and down-market capture of 94.1% versus DVY (net of fees) reflect participation in more than all of its benchmark's advances with a smaller share of its declines, as would be ideal in a bear market. Our research process helped us establish the context needed to build conviction in the companies in our portfolio and the reasons to hold them.

Growth Strategy: *Returns*

	Q3 2026	SINCE INCEPTION†
Growth Strategy · Net	**−1.17%**	**21.58%**
Growth Strategy · Gross	−0.80%	22.81%
iShares Core S&P U.S. Growth ETF (IUSG)	3.14%	14.89%
S&P 500 (SPY)	2.38%	11.07%

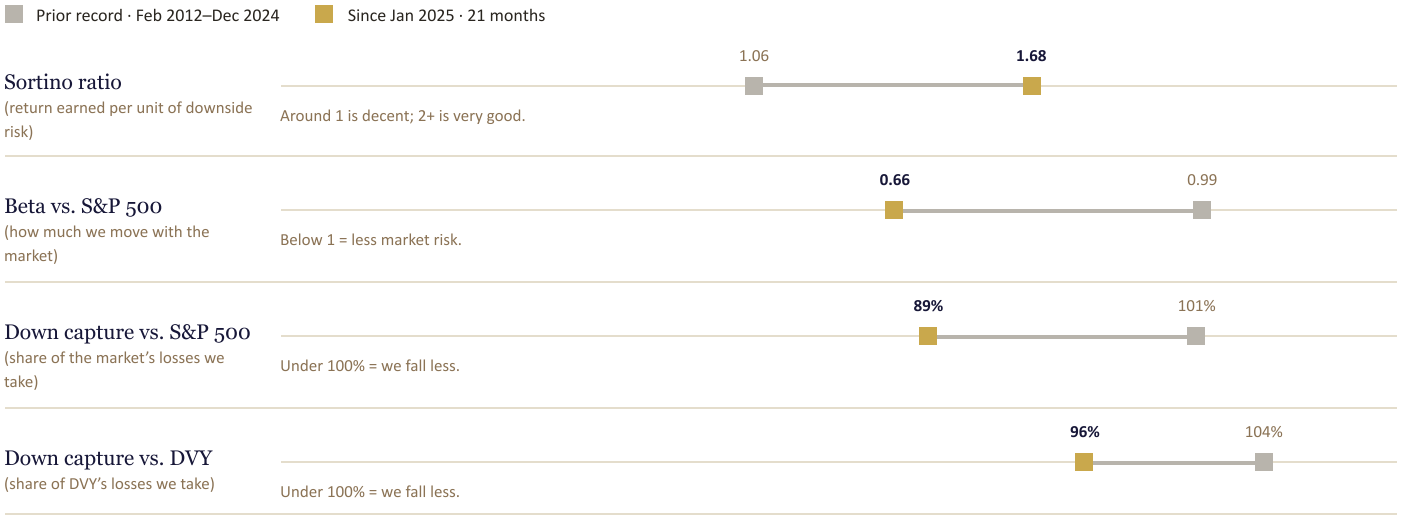
†Growth Strategy inception date is February 1, 2026. Since-inception figures are cumulative through 9/30/2026 and not annualized.

As of 9/30/2026, the Growth Strategy returned 21.58% net of fees since its inception on February 1, 2026, compared with 14.89% for the iShares Core S&P U.S. Growth ETF (IUSG) and 11.07% for SPY. The strategy applies the same research discipline as our Dividend Strategy to companies with histories of higher earnings growth and innovation. And like the Dividend Strategy, we've built conviction in the companies in our Growth Portfolio through the context our research uncovered.

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Since Refining Our *Research Process*

Two periods: “Prior record” is February 2012 to December 2024; “Since Jan 2025” is January 2025 to September 2026 (21 months). All figures are for the Dividend Strategy, net of fees and annualized.



METRIC	PRIOR RECORD	SINCE JAN 2025	WHAT IT MEANS
Sortino ratio	1.06	**1.68**	Return per unit of downside risk. Around 1 is decent; 2+ is very good.
Beta vs. S&P 500	0.99	**0.66**	How much we move with the market (1.0 = the same). Below 1 = less market risk.
Volatility (std. dev.)	15.7%	**12.0%**	Size of typical swings. Lower = smoother.
Up capture vs. S&P 500	90%	**92%**	Share of the market's gains we capture.
Down capture vs. S&P 500	101%	**89%**	Share of the market's losses we take. Under 100% = we fall less.
Up capture vs. DVY	103%	**113%**	Share of DVY’s gains we capture. Above 100% = we rise more.
Down capture vs. DVY	104%	**96%**	Share of DVY’s losses we take. Under 100% = we fall less.
Months beating DVY	47%	**52%**	Above 50% = we beat our benchmark more often than not.
Information ratio vs. DVY	0.06	**0.52**	How consistently we beat DVY. 0.5 is good; 0.75+ is very good.

Since refining our research process, we've earned higher returns while taking less market risk, held up better when the market falls, and beaten DVY more often and more consistently. Based on 21 months, so encouraging, but early.

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03 Dividend Portfolio *Changes*

The dividend portfolio remains at **25 holdings**. We exited three positions and added three, and adjusted the weight of two more. The exits are companies we believe are hurt by higher rates or simply had better alternatives. The additions have accelerating demand or pricing power.

EXITS · SOLD

SELL PACCAR PCAR — TRUCK MANUFACTURING

With the 10-year Treasury above 5%, PACCAR's customers face higher financing costs on new trucks. Revenue peaked in 2023 and isn't expected to return above that level until 2030, gross margin is the lowest in 12 years, and the stock trades about 85% above its own historical valuation on enterprise value to earnings. We saw more risk than reward at this price.

SELL NextEra Energy NEE — UTILITY

NextEra trades much like a bond, so rising long-term rates are a direct headwind. Over the last five years it has grown its debt about 14.7% a year against 8.8% a year for revenue, and it needs roughly $29 billion of outside funding every year. When a company borrows faster than it grows, each rate increase lands directly on its cost of capital. We trimmed it last quarter and exited this quarter to fund Broadcom.

SELL Church & Dwight CHD — HOUSEHOLD PRODUCTS

A steady business whose earnings have stalled: revenue grew 4.8% a year over five years while earnings per share fell 0.6% a year, and operating margin has slipped from a 20.7% peak to 17.4%. At today's price, the stock would need a richer valuation than it has historically held just to earn a solid return. We found a better use of the capital in Waste Management.

ADDITIONS · BOUGHT

BUY Broadcom AVGO — AI SEMICONDUCTORS

Broadcom designs custom AI chips and networking chips for the largest AI builders, and rents VMware software on multi-year subscriptions. Earnings per share are expected to grow from $11.68 in fiscal 2026 to $30.65 in fiscal 2028, and its AI revenue guidance steps from about $58 billion to $115 billion to $230 billion. We sold Broadcom in 2025 when we believed it was overvalued; on today's earnings outlook, we believe it is undervalued, so we are buying it back.

- Earnings expected to grow 2.6x in two years
- ~19.5x fiscal 2027 earnings
- AI revenue guidance: $58B → $230B

BUY Waste Management WM — WASTE & RECYCLING

Waste Management is North America's largest trash company. Landfill permits are close to impossible to replace, which lets WM raise prices ahead of its own costs. That kind of pricing power matters when inflation and rates stay elevated. Earnings are expected to grow about 9.6% a year.

- Pricing power
- Free-cash-flow yield 4.3% vs. 3.5% median
- Earnings growth ~9.6% a year

BUY Clear Secure YOU — IDENTITY VERIFICATION

CLEAR charges travelers an annual membership, raised to $219 on July 1, to verify their identity biometrically and skip the airport ID line. Earnings are expected to grow about 25% a year, margins have risen every year since 2021, and the company holds more cash than debt.

- Free-cash-flow yield 12.2%, near its record
- Earnings growth ~25% a year
- More cash than debt

WEIGHT CHANGES

RAISED Lockheed Martin LMT — DEFENSE

Lockheed fell with the rest of the industrial sector on rate fears, but its business isn't rate-sensitive. Its order backlog has grown to about three times its trailing twelve months of revenue, the largest backlog and the fastest backlog growth it has had in a decade, while its price-to-earnings ratio sits below its ten-year average. We raised it from an equal 4% weight. We bought more of something we became more convicted in, at a lower price.

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TRIMMED **Lam Research** LRCX SEMICONDUCTOR EQUIPMENT

We trimmed Lam Research further to help fund Broadcom. Selling it outright would have realized a large long-term gain, and we still believe in the company, so we kept the position at a lower weight.

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04 Growth Portfolio *Changes*

The growth portfolio remains at **25 holdings**. We exited three positions, one earlier in the quarter, and added three, concentrating on the power and equipment behind the AI build-out.

EXITS · SOLD

SELL Marathon Digital MARA — BITCOIN MINING

We have waited too long for Marathon to become profitable. Consensus estimates show negative earnings through 2029, and revenue is expected to fall about 16% this year, from $0.91 billion to $0.76 billion. With no earnings to value, our conviction faded.

SELL Toll Brothers TOL — LUXURY HOMEBUILDING

About three of every four Toll Brothers buyers finance with a mortgage, and 30-year mortgage rates sit near 7.4% while the broader housing market is slow. Profit is already 14% below its 2024 peak, and operating margin has fallen from 18.8% to 15.7%. We still respect the company, but we are more convicted in Generac.

SELL Edison International EIX — UTILITY

Sold earlier in the quarter

Edison faces potential wildfire liabilities of more than $13 billion against about $240 million of cash on hand. Its debt-to-equity ratio has risen to 2.5 from 1.0 in 2016, and free cash flow has been negative since 2018. This was a fundamentals decision.

ADDITIONS · BOUGHT

BUY Vertiv VRT — DATA-CENTER POWER & COOLING

Vertiv builds, sells, and services the power and cooling equipment that keeps data-center servers running. That's where the AI bottleneck has moved. Its order backlog equals roughly a full year of sales, and earnings are expected to grow about 25% a year.

- $15.0B order backlog
- Earnings growth ~25% a year
- Priced ~15% below its usual valuation

BUY Generac GNRC — BACKUP POWER

Best known for home backup generators, Generac increasingly builds multi-megawatt units for data centers, including a supply agreement with Amazon signed September 16. Consensus expects 2027 revenue to rise 32% and earnings 33%, and margins are rebounding sharply.

- ~$2.4B initial Amazon deliveries, 2027–28
- 2027 revenue +32%
- ~$1.6B backlog

BUY Pagaya Technologies PGY — LENDING TECHNOLOGY

Bought earlier in the quarter

Pagaya helps banks and fintech lenders evaluate consumer credit applications, approving creditworthy borrowers that traditional credit scores would turn away.

- Free-cash-flow yield 14.3%, the highest in its public history

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05 Valuation *Discipline*

Discipline cuts both ways. Last quarter we trimmed four holdings to below their normal weight, because their valuations had run ahead of their earnings even several years out: Lam Research, Caterpillar, NextEra Energy, and Atmos Energy. We still regarded them as good businesses. During the third quarter, each fell.

Lam Research	Caterpillar	NextEra Energy	Atmos Energy
–24.2%	**–23.9%**	**–13.7%**	**–9.2%**
Q3 2026	Q3 2026	Q3 2026	Q3 2026

Trimming realized some gains, but it also meant a smaller share of each position was exposed to those declines. This quarter we exited NextEra entirely and continue to hold the others.

Why We Sold Broadcom — *and Are Buying It Back*

In 2025, Broadcom traded at more than 40 times its expected 2028 earnings. In our view, it was overvalued even three years out, so we sold it and bought Lam Research, which looked undervalued on the same multi-year view. Broadcom rose about 13% while we were out of it, and Lam Research became one of our strongest holdings over the same period.

Today the situation has reversed. On its expected 2029 earnings, Broadcom looks undervalued to us, so we are buying it back. These are estimates, and we can't promise the outcome will repeat. The reasoning is the same each time: own what we are most convinced of, at a price that makes sense.

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06 A Note on *Taxes*

Many clients with taxable accounts will owe capital gains tax this year. We want to explain why, and what we are doing about it.

Taxes follow gains. If the year ended today, the Dividend Strategy would have its fourth consecutive year of double-digit net returns: 24.5% in 2023, 17.4% in 2024, 16.0% in 2025, and 12.3% year to date through September. When gains compound for four years, almost any change we make realizes some of them. Much of the tax owed this year is on money that did not exist four years ago.

WHAT WE HAVE DONE TO KEEP IT DOWN

- **Mostly long-term gains.** Most realized gains are long-term, which are typically taxed at lower rates than short-term gains. For the typical client, short-term results for the year are a net loss.
- **Losses harvested wherever available.** When a holding is below its cost, we can sell it to book a loss that offsets gains. There has not been a significant market correction since spring 2025, so there have been fewer losses to harvest than usual.
- **Gains deferred where we could.** Trimming Lam Research instead of selling it outright is one example.
- **Cash set aside.** Many clients hold bonds and cash in excess of their estimated tax, so we can provide the money without selling more and realizing additional gains.

WHAT HAPPENS NEXT

Before year-end, we will reach out to every client with a taxable account with an estimate you can share with your CPA. We are not CPAs, but we are glad to join a call with yours. If you still hold appreciated shares, donating them is one option that may offset part of the bill.

A longtime client of ours, a CPA, once told us: "Please don't ever let the tax tail wag the portfolio dog." The cost of not acting is often higher than the tax.

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07 Sources & References

RATES & THE ECONOMY

Federal Reserve FOMC statement and Summary of Economic Projections (September 16, 2026); U.S. Treasury daily yield data; Institute for Supply Management Manufacturing PMI; national mortgage-rate surveys; Seeking Alpha.

SECTOR TRENDS

Prices and 50- and 200-day moving averages for the eleven SPDR sector ETFs, as of the October 9 close, via Seeking Alpha.

COMPANIES

Company SEC filings, earnings calls, and investor presentations; consensus analyst estimates for revenue, earnings, and free cash flow, via Seeking Alpha.

PERFORMANCE

Paradiem composite returns and risk statistics through September 30, 2026, verified by third-party audit (Longs Peak Advisory); benchmark returns for DVY, IUSG, and SPY.

Full research reports are available upon request.

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